

Sonder's Collapse Exposes the Risk in Master-Lease CMBS Structures

A \$131.5M loan transfer reveals how tenant concentration can break a capital stack years before maturity.

The most important number in the Moinian Group's \$131.5 million CMBS loan transfer is not the loan balance. It is the year 2031. A loan that does not mature for five more years is already in special servicing. That is not a maturity problem. It is a cash-flow problem, and it reveals exactly how fragile a capital stack becomes when a single tenant controls the income stream.

The loan, backed by 2 Washington Street in the Financial District, was transferred to special servicing after cash flow deteriorated, according to Morningstar Credit Analytics. The culprit is no mystery. Sonder, the short-term rental company that liquidated in November, occupied 345 units under a master lease that paid roughly \$1.3 million a month. When Sonder collapsed, that income stream vanished. The building's cash flow cratered, and the debt service coverage ratio followed.

This is not a story about a bad building. It is a story about a structural risk that was priced into the loan at origination but not adequately stress-tested. The master lease gave the sponsor a single, creditworthy-looking tenant with a 10-year term. It also created a concentration that turned a tenant default into a loan default.

The loan was split across three CMBS conduit deals issued in 2021 by Citigroup, Bank of America, and 3650 Capital. The 2021 vintage matters. That was a year of aggressive underwriting, low rates, and high leverage. Lenders were competing for deals, and master leases from growth-stage operators like Sonder looked like a way to stabilize cash flow quickly. The risk was deferred, not eliminated.

Now the special servicer faces a workout with limited options. The building was partially converted from office to residential, but a special servicer note reveals that all but about 60 of the units can only be rented for a maximum of 30 days. That restriction blocks a straightforward multifamily conversion. The property is stuck in a regulatory limbo: too short-term for traditional residential financing, too residential for office demand.

The Moinian Group has already sued Sonder for at least \$10 million in damages, claiming guests refused to vacate or were locked out. That lawsuit may recover something, but it will not restore the cash flow needed to service \$131.5 million in debt. The special servicer will have to decide whether to modify the loan, take a discount on a sale, or pursue a foreclosure that would force a valuation reset.

Who benefits from this situation? Distressed debt buyers who can acquire the loan at a discount and negotiate a resolution with the sponsor. The special servicer benefits from time, but only if the sponsor can find a replacement tenant or a use that generates enough income to cover debt service. The bondholders in the three CMBS deals are exposed to principal loss if the property cannot support the loan balance.

Who is exposed? Every CMBS investor who owns a piece of these three deals. Every lender underwriting master-lease structures without a deep analysis of the tenant's financial stability. Every sponsor who relied on a single tenant to cover debt service without a backup plan. The market should watch what the special servicer does next.

If the loan is modified with a lower balance or a lower rate, it signals that the servicer believes the property can recover with time. If the loan is liquidated at a discount, it sets a comp for similar master-lease properties in New York. Either way, the Sonder bankruptcy is not done echoing. It is still revealing which capital stacks were built on sand.

The lesson is not that master leases are bad. It is that master leases are only as strong as the tenant behind them, and the tenant is only as strong as its business model. When the tenant is a growth-stage company with negative cash flow and a single partnership, the risk is not deferred. It is concentrated. And concentration always finds a way to surface.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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